CHAPTER 20

INTERNATIONAL ECONOMIC RELATIONS

PREWAR BALANCE OF PAYMENTS

In view of Palestine's limited natural resources and the desire of the Jewish community to increase its numbers rapidly through development of modern agriculture and manufactures, international economic relations necessarily assumed a position of paramount importance in the economic development of the past quarter century. The most complete summary of these relations -- although only in broad outline -- is provided by the balance of international payments. The estimates of such payments for 1936 and 1939, shown in the following table, are typical of the prewar pattern:

Palestine's Balance of International Payments, 1936 and 1939
(Thousands of LP)

	1936		1939	
	Payments received by Palestine	Payments made by Palestine	Payments received by Palestine	Payments made by Palestine
Merchandise				
Exports	4,421		5,616	
Imports		12,762		14,564
Tourist expenditures	552	780		280 (net)
Interest and dividends	550	500		200 (net)
Individual remittances	1,300	1,000	200 (net)	
Government transactions	300 (net)		2,132	763
Other current transactions	100	270	100	300
TOTAL ON CURRENT ACCOUNT	7,223	15,312	8,048	16,107
Capital of immigrants and emigrants	6,556	1,000	7,750 (net)	
Capital of "national" and religious funds	1,200		2,500	
Capital flow in private security, banking, and other funds	1,000	800	188 (net)	
Sale or purchase of currency	800 (net)			3,017 (net)
Gold and silver	251	157		427 (net)
TOTAL ON CAPITAL ACCOUNT	9,807	1,957	10,438	3,444
Residual	239		1,065	
TOTAL	17,269	17,269	19,551	19,551

Source: Adapted from reports of U.S. Consul in Jerusalem.